

25STCV28345 25STCV28345

County: los-angeles

Division: Civil Law and Motion

Department: 307

Hearing date: 2026-09-11

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Case Number: 25STCV28345 Hearing Date: September 11, 2026 Dept: 307

10 TENTATIVE RULING 9:15 a.m., Friday, Sept. 11, 2026

ABHIMANYU

SINGH v. GWP-POWERLAND TECHNOLOGY, INC. USA, et al. [25STCV28345]

DEFENDANTS

GWP-POWERLAND TECHNOLOGY, INC., POWERLAND TECHNOLOGY, INC., AND MING XU'S
DEMURRER WITH MOTION TO STRIKE AS TO THE FIRST AMENDED COMPLAINT

MEET AND

CONFER: OK Defendants'

counsel indicates that the parties met and conferred telephonically in
compliance with Code Civ. Proc. § 430.41 (Yang Decl., ¶¶ 3-4.)

TIMELINE:

Employment contract and wage dispute

4/15/2018: Plaintiff Abhimanyu Singh

("Plaintiff") receives an offer letter to work for Defendants GWP-Powerland Technology, Inc. ("GWP") and Powerland Technology, Inc. ("Powerland") (collectively, the "Company"). The employment Offer Letter included an Option Plan 1 and Profit Sharing Plan, promising 1.0% of Powerland's N American net profit and 50,000 stock options with the Option Strike Price of \$1.

12/27/2018: Plaintiff receives the Retention

Stock Purchase Plan ("RSP Plan") and the Incentive Stock Option Plan ("ISO Plan"). Under the RSP Plan, the Company agrees to buy all issued Purchase Shares at the price on or before 4/15/2023, with a minimum price of \$1,000 per

share. Under the ISO Plan, Plaintiff earns 25,000 shares of “special exercisable stock” for each year between 2018-2020 (totaling 75,000 shares) and the Company is required to repurchase those shares by 4/15/2023.

2/11/2021: Defendant Ming Xu (“Xu”), the Company’s CEO, confirms in writing that Plaintiff had satisfied the conditions for the RSP and ISO Plans.

Unknown Date: Plaintiff purchases 500 GWP shares at \$10 per share.

Circa 2022 to 6/2024: Powerland’s Chief Product Officer Yang Qiu (“Qiu”), acting on behalf of Defendants, represents to Plaintiff by email that the

“incentive payment” would be paid at \$6.50 per share or higher by 4/2025 or the end of 2025 at the latest.

6/12/2024: Xu emails Plaintiff, stating that he could cash out the incentive at \$3.75 in 2024 or cash out the incentive at \$6.50 at the end of 2025.

6/2024 to 11/2024: Defendants allegedly conceal from Plaintiff the basis for the unilateral and shifting share valuations.

8/5/2024: Qiu emails instructions to reduce Plaintiff’s annual salary to \$20,000, designating Plaintiff as “part time” and conditioning any payout under the RSP and ISO Plans on Plaintiff’s acceptance of the salary reduction.

9/27/2024: Defendants use a Share Transfer Agreement to coerce Plaintiff to relinquish wages owed to Plaintiff under the RSP and ISO Plans and reduce Plaintiff’s annual salary to \$20,000.

12/2022 to 11/2024: The Company pays only \$177,340 of the \$750,000 owed under the ISO Plan.

11/2024: The Company pays only \$124,650 of the \$500,000 owed to Plaintiff under the RSP Plan.

9/29/2025: Plaintiff files the Complaint. The operative First Amended Complaint ("FAC"), filed 5/19/2026, alleges causes of action for:

1. Failure to Pay Earned Wages (Lab.

Code §§ 201, et seq.)

2. Failure to Timely Pay Earned Wages

Upon Separation of Employment (Lab. Code § 203)

3. Failure to Timely Pay Earned Wages

During Employment (Lab. Code §§ 204, 210)

4. Breach of Contract

5. Breach of the Covenant of Good

Faith and Fair Dealing

6. Fraud – Intentional Misrepresentation;

Concealment; False Promises; Inducement

7. Negligent Misrepresentation

8. Retaliation (Lab. Code § 1102.5)

9. Retaliation (Lab. Code § 98.6)

6/18/2026: The Company and Xu (collectively, "Defendants") file this Demurrer and Motion to Strike, which is followed by Plaintiff's Opposition (8/28/2026) and Defendants' Reply (9/3/2026).

TENTATIVE

RULING: DEFENDANTS GWP-POWERLAND TECHNOLOGY, INC., POWERLAND TECHNOLOGY, INC., AND MING XU'S DEMURRER is SUSTAINED without leave to amend in part and with LEAVE TO AMEND in part.

DEFENDANTS

GWP-POWERLAND TECHNOLOGY, INC., POWERLAND TECHNOLOGY, INC., AND MING XU'S MOTION TO STRIKE is GRANTED with LEAVE TO AMEND.

I. DEMURRER

Defendants

demur to the first through fourth and sixth through ninth causes of action in the FAC pursuant to Code Civ. Proc. § 430.10, subd. (e).

A.

2nd

Cause of Action: Failure to Pay Earned Wages Upon Separation of Employment – SUSTAINED without leave to amend

Plaintiff

agrees to dismiss his second cause of action under Lab. Code § 203 because his employment with the Company was not terminated. Because it is undisputed that the second cause of action is without merit, Defendants' demurrer to this claim is SUSTAINED without leave to amend.

B.

4th

Cause of Action: Breach of Contract – SUSTAINED with LEAVE TO AMEND

Plaintiff's

fourth cause of action for breach of contract is insufficiently pled. To plead a breach of contract claim, a plaintiff must allege: "(1) the existence of the contract, (2)

plaintiff's

performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (Oasis

West Realty, LLC v. 5 Goldman (2011) 51 Cal.4th 811, 821.) A plaintiff

alleging breach of contract is not required to attach the contract or

to plead its terms verbatim. (Miles v. Deutsche Bank Nat'l Trust

Co. (2015) 236 Cal.App.4th 394, 402.) Instead, "the plaintiff may plead the

legal effect of the contract rather than its precise language." (Ochs v.

PacifiCare of Cal. (2004) 115 Cal.App.4th 782, 795.)

Here,

Plaintiff's breach of contract claim is based on four employment contracts: the RSP Plan, the ISO Plan, the Profit Sharing Plan, and the Option Plan 1. (FAC, ¶ 71.) Plaintiff alleges that Defendants "breached the various employment contracts by failing to pay earned wages and issue promised compensation, including stock options to Plaintiff. (Id. ¶ 72.) However, Plaintiff

neither attaches copies of these four employment contracts, nor does he identify with sufficient particularity the material terms to infer the rights and obligations of both parties under the contracts, including the conditions precedent to payment.

First, with

respect to the Profit Sharing Plan, Plaintiff alleges he was entitled to “1.0% of Powerland’s N American net profit,” subject to certain exceptions, but he does not allege when payments were due, how payments would be calculated, or what “employment requirements” Plaintiff was obligated to complete. (Id. ¶¶ 21-22.) To the extent that Defendants argue that a claim for the breach of the Profit Sharing Plan is time-barred because the breach “presumably happened in 2018,” the Court cannot reach such a conclusion at this point because the pleading is too uncertain with respect to when the alleged breach occurred.

Second,

with respect to the Option Plan, Plaintiff alleges that he was entitled to “50K stock option with the Option Strike Price of \$1 ... at start of employment based on past achievements for Powerland because of GWP and as long term incentive,” but Defendants restricted the exercise of these options for 3 years from the employment commencement date and continuous employment. (Id. ¶ 23.) Plaintiff vaguely alleges that he has “met all the employment requirements” without identifying the specific conditions that he satisfied or the terms under which the options would vest. (Ibid.)

Third, with

respect to the RSP Plan, Plaintiff alleges the purchased “500 GWP shares at \$10 price per share” and the RSP Plan required the Company to “repurchase these shares no later than April 15, 2023, for a minimum amount” if \$1,000 per Company share, totaling \$500,000. (Id. ¶¶ 24-26.) While Plaintiff vaguely alleges that Xu confirmed that Plaintiff had “satisfied all conditions” for the RSP Plan, Plaintiff does not identify those conditions precedent with sufficient specificity. (Id. ¶ 19.) Further, the limited portion of the RSP Plan which Plaintiff cites indicates that the “minimum USD amounts” for the purchase price would be “subject to the third-party valuation of the Parent Company by a mutually agreed upon independent qualified investment bank or valuation company or the valuation accepted by a Venture Capitalist company or the valuation achieved by the Parent Company at IPO...” (Id. ¶ 26.) Plaintiff vaguely alleges that he “endeavored to give Defendants the opportunity to identify a mutually agreeable, independent, qualified investment

bank or valuation company to provide an alternative valuation,” but Defendants refused. (Id. ¶ 28.) However, Plaintiff does not allege adequate facts to infer Plaintiff’s obligations with respect to the third-party valuation or whether the third-party valuation could be waived by Defendants. Meanwhile, Plaintiff alleges that the parties later executed a Share Transfer Agreement, under which Plaintiff would relinquish wages owed under the RSP Plan. (Id. ¶ 35.) The FAC omits the terms of this subsequent agreement or the scope of its effect on Plaintiff’s rights under the RSP.

Fourth, with respect to the ISO Plan, Plaintiff alleges he “earned 25,000 shares of ‘special Exercisable stock under [] Xu’s name,’ each year for three years upon meeting performance objectives,” which Plaintiff “undisputably met.” (Id. ¶ 31.) However, Plaintiff does not identify the specific performance goals required to earn shares under the ISO Plan and merely concludes that he met such goals without supporting this conclusion with any factual details. The FAC is also vague with respect to its description of the “exercisable stock” to which Plaintiff would be entitled. Further, Plaintiff alleges the ISO Plan required the Company to re-purchase the “payout value” of the earned shares (determined by a third-party valuation of the Parent Company) by no later than April 15, 2023. (Id. ¶¶ 32-33.) Plaintiff infers, without factual support, that the stock shares should be valued at the “minimum USD amounts” identified with respect to the RSP Plan but it remains unclear how Plaintiff reached this conclusion. (Id. ¶ 33.) In other words, there is insufficient factual support to infer the payout value under the ISO Plan. Finally, like the RSP Plan, the allegations related to the Share Transfer Agreement, under which Plaintiff would also relinquish wages owed under the ISO Plan, makes Plaintiff’s rights under the ISO Plan uncertain. (Id. ¶ 35.)

Overall, Plaintiff’s vague and conclusory allegations pertaining to the four employment contracts fail to provide adequate factual support to infer the legal effect of any of the four contracts. Plaintiff must either attach copies of the contracts themselves, recite their actual terms, or allege more specific facts to clarify the scope of the parties’ exact rights and obligations under the contracts. At present, the FAC contains insufficient facts pertaining to Plaintiff’s satisfaction of any conditions precedent, the nature and timing of Defendants’ specific breaches, the basis for calculating Plaintiff’s damages, and the effect of the Share Transfer Agreement on the RSP and ISO Plans.

Therefore,

Defendants' demurrer to the fourth cause of action for breach of contract is
SUSTAINED with LEAVE TO AMEND.

C.

1st

and 3rd Causes of Action: Failure to Pay Earned Wages – SUSTAINED
with LEAVE TO AMEND

Plaintiff's

wage claims suffer from the same defects identified with respect to Plaintiff's
contract claim. Plaintiff' first cause of action alleges that Defendants failed
to pay "wages under the terms of the employment" in violation of Labor Code
sections 201, 204, and 210, causing Plaintiff to suffer damages from lost
salary, wages, bonuses, incentive pay, front pay, back pay, stock options,
stock, equity, employment benefits, other compensation, and lost career
opportunities. (FAC, ¶¶ 48, 50,
63-66.)

To the

extent that these wage claims are based on Plaintiff's alleged earnings other
than the incentive compensation under the four employment contracts identified
above, the FAC is uncertain as to what specific wages were not paid. For
example, Plaintiff alleges that Defendants reduced Plaintiff's salary to
"\$20,000 per year," but it appears that the salary change coincided with a
reduction in hours to part-time employment and that Plaintiff agreed to
continue working for the Company at that salary, as opposed to Defendants
having outright refused to pay earned wages. (Id. ¶¶ 38, 43, 46.)

This

leaves the allegations related to Defendants' failure to pay Plaintiff the full
value of his stocks and options under incentive compensation structure outlined
under the four employment contracts described above. (See supra, Section
I.B.) For the reasons explained above, Plaintiff has not alleged adequate facts
to demonstrate that he had a clear and definite right to recover compensation
in the amount demanded. More factual details must be alleged to clarify that
Plaintiff satisfied the conditions precedent to his compensation and to support
his calculation of damages, including by pleading the entire scope of the legal
effect of his employment contracts.

Therefore,

Defendants' demurrer to the first and third causes of action for failure to pay wages in violation of the Labor Code is SUSTAINED with LEAVE TO AMEND.

D.

6th

Cause of Action: Fraud– SUSTAINED with LEAVE TO AMEND

Plaintiff's

fraud claim(s) are insufficiently pled. As a preliminary matter, Plaintiff combines claims for intentional misrepresentation, concealment, false promise, and fraudulent inducement into a single cause of action, however the elements of these claims and the nature of the legal wrongs underlying these claims are slightly different. The combination of these claims makes it difficult to ascertain the specific acts or omissions underlying each claim of fraud. To resolve uncertainty, Plaintiff should narrow his theory of fraud or plead the different forms of fraud as separate causes of action.

Regardless

of the nature of the fraud at issue, Plaintiff fails to overcome the heightened pleading standard with respect to his fraud claim(s). "Fraud allegations must be pled with more detail than other causes of action. The facts constituting the fraud, including every element of the cause of action, must be alleged factually and specifically." (Apollo Cap. Fund, LLC v. Roth Cap. Partners, LLC (2007) 158 Cal. App. 4th 226, 240.) "This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) For corporate defendants, the requirement of specificity in fraud actions requires Plaintiff to allege "the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

Here,

Plaintiff alleges Defendants made multiple false representations that they would "pay all amounts owed to Plaintiff" under the RSP Plan, ISO Plan, Profit Sharing Plan and the Option Plan. (FAC, ¶ 81.) For example, between 2022 and June 2024, Plaintiff alleges that Powerland's Chief

Product Officer, Qui, “repeatedly represented to Plaintiff ... by email, that the Incentive payout would be paid at \$6.50 per share (or higher)” by April 2025 or, at the latest, by the end of 2025. (Id. ¶ 41.) Later, in July 2024, Plaintiff alleges that the Company’s CEO, Xu, emailed Plaintiff stating that he could cash out his incentive compensation at \$3.75 in 2024 or at \$6.50 at the end of 2025. (Id. ¶ 42.) Plaintiff further alleges that, from June 2024 to November 2024, Defendants concealed the basis for the unilateral and shifting share valuations Defendants asserted, and Defendants’ fixed intention not to pay the contractually owed amounts. (FAC, ¶ 45.)

First, Plaintiff’s fraud allegations of intentional misrepresentation, false promise, and fraudulent inducement appear to be largely based on the promises made to Plaintiff regarding incentive compensation within the four employment contracts in 2018. To the extent that Plaintiff’s false promise claim is based on Defendants’ contractual obligations, Plaintiff must resolve the uncertainty regarding the specific material terms of the employment contracts in order to overcome the heightened pleading standard for this claim. Further, whether or not Plaintiff’s fraud claim(s) are based on the contents of the employment contracts, Plaintiff should clarify the nature of the representations made by Qui and Xu. Regarding Qui’s representations, Plaintiff identifies an ambiguous period from 2022 to 2024 but does not allege how many times Qui made these promises or the specific dates of his alleged emails. Regarding both Qui and Xu’s representations, the FAC is vague with respect to what Defendants meant by “incentive payout” and how the payout was supposed to have been calculated.

Further, the Court finds that Plaintiff’s fraud claim should not be characterized as an intentional misrepresentation, because the alleged fraud is about promises about future performance rather than then-existing facts. Plaintiff concedes that his fraud claim is based on the allegations that Defendants falsely promised to pay Plaintiff “specified amounts.” (Opp., at p. 9.) However, “[t]he law is well established that actionable misrepresentations [whether fraudulent or negligent] must pertain to past or existing material facts.” (Cansino v. Bank of America (2014) 224 Cal.App.4th 1462, 1469; see CACI No., 1903.) Plaintiff’s intentional misrepresentation allegations would more appropriately be narrowed to a false promise claim.

Second, Plaintiff’s concealment allegations are also impermissibly vague. To the extent

that Plaintiff is alleging that Defendants concealed their intention to not pay the minimum amounts owed, it appears that Plaintiff is merely reiterating his false promise claim. To the extent that Plaintiff vaguely references the concealment of “unilateral and shifting share valuations,” Plaintiff does not allege, specifically, who concealed this information, by what means the information was concealed, or how and when it should have been disclosed, or whether Defendants even had exclusive knowledge of this information. (Id. ¶ 45.) Nor does Plaintiff allege that Defendants had a duty to disclose this information to Plaintiff.

Third, Plaintiff’s

concealment-related allegations and the timeline of Defendants’ representations appear to contradict with an inference that Defendants’ promises were false when made. Plaintiff alleges that from June 2024 to November 2024 Defendants concealed the basis for the unilateral and shifting share valuations. (FAC, ¶ 45.) This timeline appears to suggest that share valuations were altered in late 2024 from the values identified in the 2018 contracts, Qui’s promises between 2022 and 2024, or Xu’s promise in July 2024. If Defendants’ representations were based on information known to them at the time, but which later changed, it is not clear how their promises were false when made. Plaintiff infers that Defendants did not intend to perform their promise(s) to pay the contractual amounts owed to Plaintiff based on the use of the “threat of withheld payment, combined with the unilateral salary reduction” in August 2024, but it is not clear from Plaintiff does not clearly allege the scienter requirement was met at the time of each of the various alleged false promises (FAC, ¶¶ 43, 86.) Plaintiff simply concludes that Defendants’ representations were “false or misleading when made” without factual support tailored to each false promise. (Id. ¶¶ 40, 82.)

Ultimately,

Plaintiff’s fraud allegations are too uncertain to identify the specific instances of fraud underlying his claim, or the scope and source of each fraudulent act or omission, and thus, Plaintiff fails to plead his fraud claim(s) with adequate factual particularity. Plaintiff should also more clearly identify the basis for each fraud claim and, to the extent he can meaningfully amend his pleading to state claims for multiple types of fraud, separate his false promise and concealment claims.

Therefore,

Defendants’ demurrer to the sixth cause of action is SUSTAINED with LEAVE TO AMEND.

E.

7th

Cause of Action: Negligent Misrepresentation – SUSTAINED with LEAVE TO AMEND

Plaintiff's

seventh cause of action for negligent misrepresentation is insufficiently pled.

Negligent misrepresentation is similar to fraud, except

negligent misrepresentation does not require knowledge of falsity. (*Tindell*

v. Murphy (2018) 22 Cal. App. 5th 1239, 1252.) "The elements of a

negligent misrepresentation are (1) the misrepresentation of a past or existing

material fact, (2) without reasonable ground for believing it to be true, (3)

with intent to induce another's reliance on the fact misrepresented, (4)

justifiable reliance on the misrepresentation, and (5) resulting damage." (*Ibid.*)

Like fraud claims, negligent misrepresentation claims are subject to a

heightened pleading requirement. (See e.g. *Charnay v. Cobert* (2006)

145 Cal.App.4th 170, 185, fn. 14; *Cadillo v. Owens-Illinois, Inc.* (2004) 125 Cal.App.4th 513,

519.)

Plaintiff's

negligent misrepresentation claim fails because Plaintiff has not alleged the

underlying representations or their falsity when made with adequate

particularity. Plaintiff's seventh cause of action is based on the same

misrepresentations underlying the sixth cause of action for fraud. (FAC, ¶ 93.) The Court herein incorporates by

reference its above analysis with respect to these false representations, as

described above. (See

supra, Section I.D.)

Defendants'

remaining arguments are unpersuasive. First, Plaintiff's negligent

misrepresentation claim is not necessarily barred by the two-year statute of

limitations. Plaintiff filed the instant lawsuit in September 2025. However,

Plaintiff alleges continuing misrepresentations through mid-2024 pertaining to

a promised payout date of late 2025. (FAC, ¶¶ 41-42.) Plaintiff did not execute the Share Transfer Agreement

until September 2024. (*Id.* ¶ 78.) Defendants' ongoing misrepresentations

regarding Plaintiff's payments, combined with the uncertainty of the specific

contract terms, suggest that Plaintiff's misrepresentation-based claims are not

necessarily time-barred.

Second, Plaintiff's

negligent misrepresentation claim is not necessarily barred by the economic

loss rule. “In general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.” (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 922 (Sheen).) However, there are exceptions to this rule for intentional tort claims like fraud. (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 38.) As a sub-species of fraud, negligent misrepresentation claims are excepted from the economic loss rule to the same extent as fraud claims. (See e.g. Sheen, supra, 12 Cal.5th at p. 943 [holding that denial of a negligence claim under the economic loss rule did not foreclose alternate avenues of relief, for example, by asserting a cause of action for negligent misrepresentation]; Moore v. Centrelake Medical Group, Inc. (2022) 83 Cal.App.5th 515, 535–536 [“negligent misrepresentation is a separate and distinct tort from negligence.”]; Bily v. Arthur Young & Co. (1992) 3 Cal.4th 370, 407 [“[n]egligent misrepresentation is a separate and distinct tort [from negligence], a species of the tort of deceit”].)

In any event, Plaintiff’s failure to overcome the heightened pleading requirement for his negligent misrepresentation claim is a sufficient basis to sustain Defendants’ demurrer. Therefore, Defendants’ demurrer to the seventh cause of action for negligent misrepresentation is SUSTAINED with LEAVE TO AMEND.

F.

8th

and 9th Causes of Action: Retaliation – SUSTAINED with LEAVE TO AMEND

Plaintiff’s

retaliation claims are insufficiently pled. To establish a prima facie case for retaliation, a plaintiff must allege that: (1) he engaged in a protected activity, (2) his employer subjected him to an adverse employment action, and (3) there was a causal link between the two. (St. Myers, supra, 44 Cal.App.5th at p. 314; see CACI No., 4603.) In this case, Plaintiff’s retaliation claims both allege that Defendants refused to pay Plaintiff’s “wages, bonuses, incentives, and contracted for agreements” in response to Plaintiff’s communications regarding Defendants’ payment of the promised

incentive compensation. (FAC, ¶¶ 106, 108, 117-118.) These allegations are insufficient to demonstrate that Plaintiff engaged in any protected activity under the meaning of Labor Code sections 1102.5 and 98.6.

Labor

Code section 1102.5, subd. (b) “prohibits retaliation for disclosing information about a violation or noncompliance with federal, state, or local statute, rule, or regulation.” (St. Myers v. Dignity Health (2019) 44 Cal.App.5th 301, 307 (St. Myers); see Lab. Code § 1102.5, subd. (b).) Labor Code section 98.6 “prohibits discharging an employee for filing a bona fide complaint or claim relating to her rights under the jurisdiction of the Labor Commissioner.” (St. Myers, supra, 44 Cal.App.5th at p. 307; see Lab. Code § 98.6.) Here, Plaintiff identifies various written communications to Defendants in which Plaintiff asked “clarifying questions” about his compensation, notified Defendants he was “under severe financial pressure” and requesting plan payouts, requesting that Defendants execute a “formal signed agreement with respect to the payouts,” requesting calculations of the payout, and stating “we have to legally /follow labor law rules in CA and US.” (FAC, ¶ 106.) However, for the reasons described above with respect to Plaintiff’s contract and wages claims, Plaintiff fails to allege adequate facts to support the factual premise that Defendants’ failure to pay Plaintiff in the sums identified constituted a violation of wage and hour laws. (See supra, Sections I.B-C.) Further, none of the specific communications identified by Plaintiff appear to indicate that Plaintiff disclosed or believed he was disclosing a then-active violation of the law or a violation of his labor rights. Rather, Plaintiff’s communications reveal that he asked questions about the timing and nature of his payments and made demands regarding his contract rights. At most, while Plaintiff encourages general compliance with labor laws, the narrow statements do not clarify that Plaintiff made a specific accusation of then-existing statutory violations warranting a finding of protected activity.

Therefore, Defendants’ demurrer to the eighth and ninth causes of action for retaliation is SUSTAINED with LEAVE TO AMEND.

II. MOTION

TO STRIKE – GRANTED with LEAVE TO AMEND

Defendants

move to strike Plaintiff's references to punitive damages, front pay, lost career opportunities, and credit card debt on the grounds that these requests are improper. As currently pled in the FAC, the Court agrees that these remedy requests are defectively pled.

First, Plaintiff

seeks punitive damages in connection with his fraud and negligent misrepresentation claims and both retaliation claims (FAC, ¶¶ 92, 103, 112, 122.) Even to the extent that Plaintiff can restate these claims in an amended pleading, Plaintiff's punitive damages request is inadequate because it is entirely conclusory. Specifically, Plaintiff simply concludes that "Defendants acted with oppression, fraud, and/or malice" without alleging even ultimate facts to support the scienter requirement under Civil Code section 3294 and without identifying the state of mind of any specific actors or corporate authorization/ratification on behalf of the Company. (Ibid.)

Second,

Plaintiff has not alleged sufficient facts to suggest he is entitled to recover front pay. "Front pay," as the term is used in employment litigation, is a measure of damages for loss of future income, as opposed to backpay, which is lost-wages damages through the time of trial." (Horsford v. Board of Trustees of California State University (2005) 132 Cal.App.4th 359, 388.) "Front pay usually reflects a temporary situation that will be remedied by other relief ordered in the judgment. If, for example, the court orders reinstatement of a fired employee or promotion to a job the employee was denied as a result of discrimination, front pay might be awarded to make up a wage differential if there were no vacancy into which the employee could immediately be reinstated or promoted." (Ibid.) "Occasionally, courts have awarded front pay based upon a wage differential that will persist over the employee's working life. For example, an employee terminated from a private company that regularly paid year-end bonuses had accepted permanent employment with a government agency that did not pay bonuses; she was awarded permanent front pay." (Ibid.) Here, as Plaintiff remains employed at the Company, he has not alleged facts warranting his reinstatement or a wage differential as a result of Plaintiff's lost employment. Plaintiff is simply alleging that he is owed his agreed-upon incentive compensation. Plaintiff offers no legal authority to suggest that "front pay" is an appropriate remedy for Defendants' alleged wrongdoing.

Third,

Plaintiff has not alleged sufficient facts to suggest he is entitled to recover for lost opportunities. Plaintiff fails to identify any legal authority to support a request for recovery based on "lost career opportunities." Moreover, Plaintiff does not meaningfully allege any specific opportunities he lost as a result of Defendants' wrongful conduct, rendering the request impermissibly vague and speculative.

Finally,

Plaintiff does not oppose Defendants' request to strike the references to credit card debt from Plaintiff's complaint.

Therefore,

Defendants' motion to strike is GRANTED with LEAVE TO AMEND.

Defendants GWP-Powerland Technology, Inc., Powerland Technology, Inc., and Ming Xu to serve notice of ruling. This tentative ruling ("TR") shall be the order of the Court unless changed at the hearing and shall by this reference be incorporated into the Minute Order. TR emailed to counsel and posted to court website on 9/10/26 at 3 p.m.